

asked this friend to be his accountability buddy and the two agreed they would meet each week for coffee, both to hold Rob to his savings goals and to talk through any times he was tempted to lend money to his family.

Rob then had a meeting with his family where he explained he had received an income cut (which was true because his savings goals had reduced his available income) and he would no longer be able to loan them money. However, he told his parents he'd instead be transferring a small weekly amount to their account to subsidise their expenses. This met Rob's need to care for his family financially as well as protecting himself.

Within twelve months, Rob had reached his deposit goal. He did this by purchasing a house in another state at a mid-market value that he felt safe with. He also paid mortgage insurance as he didn't have a 20 per cent deposit but felt comfortable paying because he knew this was a long-term investment. Besides, he knew he wouldn't miss a mortgage repayment, but he was concerned he might ultimately stop with any savings goals.

THE WRAP-UP

Among all the theories and examples of these money habits, some will relate, some will seem obvious, some might pique your curiosity, while some might even seem absurd. That's all okay and even to be expected.

When it comes to finding the right habits for you, trial one you're interested in, see how it fits, adapt it and then try another habit. Or try a habit out and, if it's not right, reject it and try another, until you have a suite of habits that's right for you. Creating good financial habits is about building incremental changes that will compound over time. It's no different from brushing your teeth, choosing to lift weights daily or learning a language. The trick is to create new, strong neural pathways to build lifelong habits you're motivated to stick with.

You may have noticed that in none of these examples have I talked about budgets. That's because, as you know by now, for most of us budgets simply don't work, in the same way that diets don't work. They're restrictive and they involve you allocating income to all the many things you could possibly be spending on with often only a teeny bit left over for saving. Instead, I've talked about setting up different bank accounts,